

3.3 Unit content

3.3.1 What objectives do firms have?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Objectives	Identify that firms may have different objectives.	Objectives may include: ■ profit maximisation ■ revenue maximisation ■ sales maximisation ■ behavioural theories, for example, satisficing.

3.3.2 Why do firms grow?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Company growth	Discuss how and why firms grow.	Students should be able to distinguish between forward, vertical and conglomerate integration, and know the reasons for such mergers/ takeovers. Students will need to know why some firms tend to remain small and others grow. Students should also understand the reasons for demergers.

3.3.3 How can we calculate the revenue of a firm?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Revenue	Illustrate and perform simple calculations using total revenue, average revenue and marginal revenue.	Students will need to be able to draw and interpret revenue curves and to understand the relationships between total revenue, price elasticity of demand and marginal revenue.

3.3.4 How can we calculate the costs of a firm?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Costs	Illustrate and perform simple calculations using total cost; total fixed cost; total variable cost; average total cost; average fixed cost; average variable cost and marginal cost.	Students will need to be able to draw and interpret cost curves; distinguish between short run and long run costs; and explain the shape of the average cost curve in terms of diminishing marginal returns and economies of scale. Students will not require a knowledge of marginal product theory to explain costs.
Economies and diseconomies of scale	Identify economies and diseconomies of scale.	Students must be able to distinguish and give examples of internal and external economies and diseconomies of scale.

3.3.5 What is meant by efficiency?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Productive and allocative efficiency	Understand and distinguish between productive and allocative efficiency.	Students will be required to know that the minimum point on the average total cost is the most productively efficient point and that allocative efficiency occurs where price is equal to marginal cost. Students should also understand the meaning of inefficiency eg, x-inefficiency.

3.3.6 What is meant by profit?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Normal and supernormal profit	Understand the distinction between normal and supernormal profit.	This can be related to the understanding of the objectives of the firm and the ability of different firms to make normal and supernormal profit.
Profit maximisation	Explain and illustrate the concept of profit maximisation using marginal cost and marginal revenue.	

3.3.7 What barriers exist to firms entering and leaving markets?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Barriers to market entry and exit	Understand the meaning and types of barriers to entry and exit and how they affect the behaviour of firms.	Examples of barriers to include economies of scale; limit pricing; legal barriers, for example patents; sunk costs, for example advertising. Students will be expected to discuss the significance of barriers to entry and exit to firms operating in different market structures.

3.3.8 What do we mean by market concentration?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Market concentration	Understand market concentration ratios and be able to interpret the meaning and significance for business behaviour.	

3.3.9 What determines the behaviour of firms?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Perfect competition	Understand the assumptions of perfect competition and be able to explain the behaviour of firms in this market structure.	Diagrammatic analysis of the market structure is required in both the short and long run. Students will be expected to understand the significance of firms as price-takers in perfectly competitive markets. An understanding of the meaning of shut-down point is required. The impact of entry into and exit from the industry should be considered.
Monopoly	Understand the characteristics of this model and be able to use them to explain the behaviour of firms in this market structure. Explain and evaluate the differences in efficiency between perfect competition and monopoly. Explain and evaluate the potential costs and benefits of monopoly to both firms and consumers, including the conditions necessary for price discrimination to take place.	Diagrammatic analysis of the market structure is required. Students must be able to explain the sources of monopoly power such as the degree of product differentiation and entry barriers. A diagrammatic explanation to compare the two market structures is expected. Diagrams should also be used to support the understanding of price discrimination.

Content	Students should be able to:	Additional guidance notes
Monopsony	Explain and evaluate the characteristics and necessary conditions for a monopsony to operate. Evaluate the potential costs and benefits of a monopsony to both firms and consumers.	Students should be aware of the significance of monopsony power for businesses operating in a particular market for example, the impact of supermarket monopsony power on suppliers. Students are not expected to use diagrams to explain monopsony.
Oligopoly	Understand the characteristics of this market structure with particular reference to the interdependence of firms. Be able to explain the behaviour of firms in this market structure. Explain the reasons for collusive and non-collusive behaviour. Evaluate the reasons why firms may wish to pursue both overt and tacit collusion.	Students should be able to explain that oligopolistic markets have high concentration ratios, in which a firm's decisions on price, output and other competitive activities may have immediate effects upon other competitors. Students should understand the reasons for cartels, non-price competition, price wars, predatory pricing and price leadership. Diagrammatic analysis of this area is not required.

Content	Students should be able to:	Additional guidance notes
	Use simple game theory to illustrate the interdependence that exists in oligopolistic markets.	Students will be expected to have an understanding of prisoners' dilemma and a simple two firm/two outcome model. Students should analyse the advantages/disadvantages of being a first mover. Students will not be expected to have an understanding of the Nash Equilibrium. The Kinked Demand curve is not required but may still be used to support an explanation of interdependence — as part of game theory.
Monopolistic competition	Understand the characteristics of a monopolistically competitive market and be able to use these to explain the behaviour of firms in this market structure	Students should be able to carry out diagrammatic analysis of the market structure in both the short and long run. Students should understand the importance of advertising and differentiation for the model of monopolistic competition and be able to contrast this with other market structures. Students should be able to explain and evaluate the efficiency of monopolistic competition.

NOTICE TO CENTRES

Edexcel GCE in Economics (First Teaching September 2008). Replacement for page 42 in Specification (UA018872).

3.3.10 How does the threat of competition affect a firm's behaviour?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Contestability	Define contestability and understand how the threat of new entry may influence behaviour and market performance of existing firms.	Students should be able to understand the relationship between sunk costs and the degree of contestability — examples may include banking, airline industry and petrol retailing.

3.3.11 Why does the government intervene in markets to maintain competition?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Government intervention to maintain competition in markets	Explain and evaluate measures aimed at enhancing competition between firms and their impact on prices, output and market structure.	Students should be able to explain why governments may intervene to encourage competition, or prevent monopolies and mergers.
	Compare and evaluate the strengths and weaknesses of methods of regulation for example price capping, monitoring of prices and performance targets.	A detailed knowledge of the legislation that relates to competition policy is not required. Students will need to be aware of various types of private sector involvement in public sector organisations, including contracting out, competitive tendering and public private partnerships (PPP/PFI).